

Amazon.com, Inc.

AMZN NASDAQ

Buy	\$250.33 ▲ 1.25%	12M Price Target \$295.00	52-Week Range \$196.00 – \$278.56	Market Cap \$2.69T
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AMZN: Grinding Higher as AI Cloud ROI Story Gains Traction

WHAT HAPPENED

- AMZN is up 1.25% to \$250 on light summer volume (only 6.5M shares vs the usual 40M+), so don't read too much into the pop — it's a drift, not a stampede. The real story is a 24/7 Wall St piece flagging that Amazon's AI cloud ROI is projected to cross above Microsoft's, which matters because the whole bear case on AMZN this year has been "they're spending \$100B+ on AI infrastructure with nothing to show for it."
- Citi published a note calling the "Magnificent Seven" label obsolete — meaning they're saying not all mega-cap tech is created equal in AI, and the winners are separating from the losers. AMZN being called out favorably here is a subtle but real sentiment shift.

WHY IT MATTERS

Here's what I think is really going on: for 18 months investors have been nervous that hyperscalers (the big cloud companies) were building AI capacity faster than customers were buying it. If the ROI narrative flips — meaning Wall Street starts believing Amazon's AI capex is actually generating returns — the stock re-rates higher because the "wasted spend" discount goes away. The options flow backs this up: put/call ratio of 0.46 with big unusual call buying means sophisticated traders are positioning for upside, not downside. Watch for AWS growth in the next earnings print — if it accelerates back above 20% year-over-year, this stock breaks out of its \$240-278 range and runs.

POLICY & POLITICAL WATCH

Two things on the political radar: (1) The FTC's antitrust case against Amazon is still grinding forward, but under the current administration the enforcement posture has softened noticeably — a settlement or narrowed case would remove a real overhang. (2) Tariff policy matters a LOT here — Amazon's third-party sellers source heavily from China, and any new tariff escalation raises prices on their marketplace, which could pressure retail volumes. Offsetting that, the administration's push for domestic AI infrastructure and data centers is a direct tailwind for AWS, since federal cloud contracts and permitting for new data centers get easier under the current regime.

IS IT EXPENSIVE?

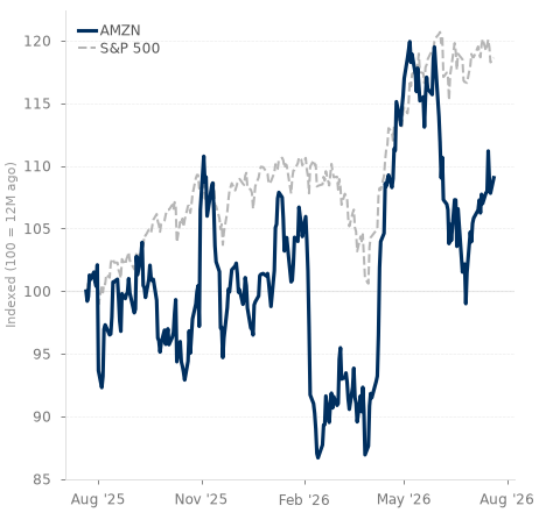
Key Data

Price (USD)	\$250.33
12M Price Target	\$295.00
Upside / (Downside)	+17.8%
Market Cap	\$2.69T
FY2026E Revenue	\$745M
FY2027E Revenue	\$825M
FY2026E EPS	\$6.85
FY2027E EPS	\$8.10
Fwd P/E	36.5x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$268.00	\$255.00	\$238.00
6 Months	\$295.00	\$275.00	\$230.00
1 Year	\$325.00	\$295.00	\$220.00
2 Years	\$400.00	\$340.00	\$210.00
5 Years	\$550.00	\$425.00	\$200.00
10 Years	\$900.00	\$650.00	\$250.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.4% over 5 days) is running because AI data center power demand is a legit multi-year story, and the administration's fossil fuel-friendly stance is amplifying it. This is actually a leading indicator for AMZN — you can't run AI without power.

COOLING OFF: Tech is down 2.4% over 5 days despite today's bounce — there's a rotation happening out of crowded AI names into more industrial/energy plays that benefit from AI. Industrials and Staples are also soft.

ROTATION WATCH: Money is moving from "AI application" plays into "AI infrastructure" plays — power, cooling, grid. That's actually good for AMZN because they're the biggest buyer of that infrastructure and own the customer relationship.

RELATED PLAY: If you like AMZN's story, look at the data center REITs and independent power producers — they get paid whether AWS's AI bets work or not, they just need AMZN to keep building.

WHO'S WINNING IN THIS SPACE?

- META (Meta Platforms): Winning because their AI capex is directly tied to ad revenue that's already showing up in numbers — the ROI proof AMZN is still trying to demonstrate.
- GOOGL (Alphabet): Google Cloud is growing faster than AWS right now, and Gemini adoption is finally being taken seriously by enterprise buyers.

AMZN CONTEXT: AMZN has been the laggard of the mega-caps this year, which is why Motley Fool is literally publishing "should you even buy this?" articles. That kind of sentiment washout is often a decent setup — expectations are low, the stock is at 66% of its 52-week range, and any positive AWS surprise gets rewarded disproportionately.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Not pounding the table, but this is one of those setups where the risk/reward is asymmetric: limited downside because the business is a fortress, real upside if the AI ROI narrative flips.

POSITION SIZE: 5-7% of a diversified portfolio — it's a mega-cap so you can size up without losing sleep, but don't go crazy because the stock can chop sideways for months.

ENTRY POINTS: I'd add on pullbacks to \$240-245, which is where it's been finding support. Chasing at \$250 is fine but not urgent — summer volume is thin and moves get exaggerated.

TIME HORIZON: 12-24 months, with the key catalyst being AWS growth reacceleration in Q3/Q4 earnings and any softening of the FTC case.

WHEN TO BAIL: If AWS growth drops below 15% for two consecutive quarters, or if the FTC suddenly gets aggressive about a structural breakup — those are the real "get out" signals.

HEDGING: Simplest hedge is trimming into strength above \$275 rather than buying puts. If you want protection, a small position in Treasuries or gold offsets the "tech sells off on rate scare" risk without betting against the company itself.